

The PDCA (Plan-Do-Check-Act) model provides a systematic framework for continuous improvement within the cafe business. By following an iterative PDCA cycle, the cafe can systematically improve its performance, adapt to changing market conditions, and remain competitive over time. Each iteration of the cycle builds upon the cafe's learning curve, leading to continuous innovation and success.

# 10.7 Why Do Startups Fail?

Startups fail for various reasons, which can be categorised into internal and external factors. Some of the most common reasons include:

## 1. No Market Need

The startup may have developed a product or service for which there is no demand in the market. A pet solutions company launched a “Smartfeeder” aimed to revolutionise pet care with automated feeding systems that could be controlled via a smartphone app. Despite initial interest, it struggled to find a substantial market need. Many pet owners didn't see the necessity for a high-tech feeding system and preferred traditional, more affordable options.



## 2. Ran Out of Capital

Insufficient funding can lead to running out of capital, hindering the startup's ability to sustain operations and grow. A perfect example of this is Quibi, a short-form video streaming platform, that raised nearly \$2 billion but failed to attract a sufficient number of subscribers. Despite high-profile content and significant marketing spending, Quibi couldn't justify its business model, and it exhausted its capital within six months of launching, ultimately leading to its shutdown.